Document Title: 2025 REID Base RAG - Member Edition

Target Audience: Member (Freemium) & Base Tier Users.

Document Purpose: This document provides a high-level, narrative-driven overview of the 2025 Bali real estate market. It serves as the primary source for "Insight-based" search queries.

Core Strategic Anchors: * Market Narrative: The market is currently in a phase of 'Decisive Recalibration' and 'Structural Consolidation'. * Asset Shift: A major trend is the pivot toward compact assets (1-2 bedroom formats), which now lead market volume at over 53%. * Price Interpretation: Any softening in median prices is compositional (due to smaller assets being sold) rather than a loss in actual property value.

Operational Data Rules:

- You must qualify all responses derived from this document by mentioning the Leasehold focus. This is critical because Leasehold represents ~80% of Bali's transactional volume and has different valuation math than Freehold.
- Units: All financial data is in USD ($). Measurements are in Square Meters (SQM). * Tenure Definitions: Leasehold (Private Contractual) and Freehold (Hak Milik) are structurally distinct and should not be compared as like-for-like.

Scope Constraint: This document contains macro-market summaries. It DOES NOT contain granular neighborhood-level data or raw database entries.

2025 REID Base RAG

Member tier data

2025 Bali real estate key insights

The Bali property market in 2025 underwent a decisive recalibration following the accelerated growth cycle experienced between 2022 and 2024. This year marked a shift toward structural consolidation, as both supply and transaction volumes moderated across key segments. Developer sentiment adjusted to evolving demand patterns, with a strategic pivot toward compact and efficiently designed assets that responded to affordability pressures without compromising on yield potential.

Supply pipelines narrowed, particularly within off plan inventory, indicating a more selective approach to project releases. While aggregate prices showed signs of softening, the decline largely reflects a compositional shift toward smaller format sales rather than a deterioration in asset value. Developers increasingly prioritised density and land efficiency, as evidenced by a multi year contraction in average build size and concurrent rise in floor space ratios.

In the rental market, a substantial increase in available stock placed downward pressure on daily rates. However, occupancy levels remained steady, supported by consistent inbound demand and strategic rate recalibrations. Revenue metrics declined year-on-year, driven primarily by pricing compression and an altered asset mix, with compact properties gaining market share.

Collectively, 2025 signals the emergence of a more mature and disciplined marketplace. Stakeholders across development, sales, and operations have demonstrated adaptive behaviour, rebalancing risk exposure while aligning offerings to evolving consumer profiles. The prevailing theme is one of recalibrated growth, with the market poised for performance grounded in operational sophistication and sustainable delivery.

1. **Total market median prices softened, falling -2%**
   Overall market values stayed stable, but downward pressure from off-plan and apartment sales nudged market prices slightly lower through the year.

2. **The composition of the market has shifted, fundamentally adjusting the shape of the market**
   1&2 Bed assets now lead the market in sales volume at over 53%. Changes in buyer demand are reshaping both the mix of sales and overall pricing pattern. A heavier concentration of smaller asset sales has materially affected market medians, as opposed to material value decline.

3. **Rental occupancies performed up to 2 percentage points above 2024 levels before a softer end to the year.**
   Rising rental occupancy, fuelled by stronger arrivals, reinforces the market’s core strength averaging around 53% across the entire market for 2025. Demand growth continues to underpin market stability and resilience

4. **Rental competition has intensified with a 12% growth in total available supply.**
   Increased rental supply has sharpened competition, placing downward pressure on rates & revenues as operators work to secure occupancy.

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5. **2025 registered over 4,800 property transactions.**
   Total transactions across the Bali market fell by just over -5% year-on-year, landing just below 5,000 sales in 2025, as cautious buyer sentiment set in and regulation tightened across the island.

6. **A total combined value of over $2B sales value over 2025**
   Combined sales value across Bali fell -9% year-on-year. While lower transaction volume played a role, the main driver was increased buyer demand for smaller, lower-value assets.

7. **New project square meterage fell as new development launches softened in 2025**
   Just over 160,000 sqm of new property launched in 2025, well below the 244,000 sqm peak in 2024. The drop highlights a clear cooling in development activity across the market.

8. **Rental revenue declined to $1.2B for 2025**
   Despite a 2 percentage point rise in occupancy across 2025, total revenue fell by -15%, as growing competition and shifting visitor preferences placed downward pressure on rates.

2025 Bali real estate market trends

1. **Supply Trends**
   The supply landscape in 2025 demonstrated strategic contraction, with developers scaling back volumes while rebalancing regional focus. The decline in new inventory was matched by changes in product composition, favouring mid-sized and compact assets. North Badung's dominance tapered, while South Badung and emerging precincts gained ground, reflecting broader shifts in buyer preference and land optimisation strategies.

   Leasehold properties continued to dominate, comprising 80.6% of the total supply, reflecting the entrenched regulatory and investment frameworks shaping tenure patterns in Bali. The modest presence of freehold (19.4%) remains constrained by access limitations for foreign buyers, reinforcing leasehold's role as the principal transaction structure.

Table showing current available properties across bedroom categories

TYPE	1 BED	2 BED	3 BED	4 BED	5 BED	6 BED +
VILLA	875	3,278	3,595	2,140	985	375
APARTMENT	1,055	137	25	0	0	0
TOTAL	1,930	3,415	3,620	2,140	985	375

- **Over 12,300 total properties for sale; -7% YoY Change**
- **2 Bedroom market share = 32%; +8% YoY Change**

Two-bedroom and three-bedroom assets maintained their lead, comprising 27.8% and 29.4% of listings respectively. These typologies represent the convergence of the new and old markets, with mid-sized assets traditionally dominating supply, while the post-COVID property boom has seen the explosion of compact assets.

One-bedroom units accounted for 15.7% of supply, providing accessible entry points for short-stay operators and individual investors. The slight YoY contraction in total listings (-7%) suggests a broad market cooling as developers moderate new projects and market expansion.

Table showing break down of available supply by development status and property type

	AVAILABLE	OFF PLAN
DEVELOPMENT STATUS	67%	33%
	VILLA	**APARTMENT**
PROPERTY TYPE	86%	14%

- **Over 3,230 total 'off-plan' properties for sale; -9% YoY Change**
- **Apartment market share up to 13.8%; +44% YoY Change**

The off plan segment stabilised at 3,230 units, dipping -9% year on year, reflecting a reduced but steady pipeline. The 44% YoY increase in apartment share signals incremental diversification beyond villa-led supply, though villas remain dominant at 86%.

Developer strategy appears focused on refining product mix and moving existing volume rather than expanding headline volumes. This shift reflects a broader slowdown from the accelerated expansion of the past two years, as the market transitions from high growth speculative cycles toward a more measured phase of consolidation, aligning with moderated buyer demand and an uncertain regulatory future.

Table showing break down of development status by property type

	AVAILABLE	OFF PLAN
VILLAS	72%	28%
APARTMENTS	75%	25%

- **Over 2,390 total 'off-plan' villas for sale; -12% YoY Change**
- **Over 800 total 'off-plan' apartments for sale; -55% YoY Change**

Off-plan apartment supply declined sharply by 55% YoY, underscoring the volatility inherent in this emerging product class. With over 75% of apartment listings still under development, the sector remains at a formative stage. The slowdown in launches reflects caution from the market as buyer uptake and operational viability is assessed.

Off-plan villa inventory fell 12% YoY to 2,390 units. The decline reflects market stabilisation rather than structural weakness, as developers focus on balancing existing stock with ongoing buyer demand supporting a measured pipeline of new supply in a consolidating environment.

Table showing break down available supply by Regions across Bali

	CENTRAL BADUNG	DENPASAR	GIANYAR	MENGWI	NORTH BADUNG	SOUTH BADUNG	TABANAN
MARKET SHARE	7.1%	3.6%	8.8%	17.2%	34.9%	21.6%	6.8%

- **Largest supply of properties for sale is within North Badung at over 4,290; -22% YoY**
- **Largest regional market growth is South Badung which now accounts for 22% of listings; +13% YoY**

North Badung retained the largest supply share (34.9%) despite a 22% YoY contraction in available properties, signalling possible saturation and recalibrated developer appetite.

South Badung grew its market share to 22% (+13% YoY), positioning itself as an increasingly strategic growth corridor amidst shifting infrastructure and amenity investments.

2. Sales Trends

Table showing 2025 sales volume by bedroom category

	1 BED	2 BED	3 BED	4 BED	5 BED	6 BED +
SALES SHARE	20.8%	31.9%	26.4%	13.2%	6.2%	1.5%

Sales activity in 2025 reflected a maturing buyer base with sharpened focus on efficient, income generating formats. Compact dwellings dominated transactions, while freehold premiums held firm. Geographic shifts in transaction volume pointed to deepening interest in emerging corridors, even as total activity eased from prior highs. The market's behavioural pivot suggests greater alignment between product, pricing, and prevailing demand conditions.

Two-bedroom assets captured 31.9% of sales, highlighting their continued appeal across investor and occupier profiles and continued the growth of the smaller asset class, to now become the dominate sales share with over 50% of sales. Three-bedroom properties followed at 26.4%, sustaining demand for family scale layouts. One bedroom properties made up 20.8%, underscoring affordability and rental compatibility as key drivers of transaction volume.

Table showing change in small asset sales volume 2023 - 2025

Jan/23	Feb/23	Mar/23	Apr/23	May/23	Jun/23	Jul/23	Aug/23	Sep/23	Oct/23	Nov/23	Dec/23
34%	41%	30%	33%	33%	29%	33%	32%	38%	41%	41%	45%

Jan/24	Feb/24	Mar/24	Apr/24	May/24	Jun/24	Jul/24	Aug/24	Sep/24	Oct/24	Nov/24	Dec/24
39%	36%	50%	44%	43%	51%	51%	49%	54%	61%	60%	57%

Jan/25	Feb/25	Mar/25	Apr/25	May/25	Jun/25	Jul/25	Aug/25	Sep/25	Oct/25	Nov/25	Dec/25
62%	62%	57%	49%	50%	50%	51%	50%	43%	52%	50%	47%

- **2025 1&2 Bedroom property sales volume = 53%; +51% over 36 months**
- **Over 4,800 total property sales across 2025; -5% YoY**

1–2 bedroom assets comprised 53% of 2025 transactions, representing a 51% increase over three years with sales volume growing from under 35% in 2023 to over 50% in 2025. This trend confirms the ascendancy of compact formats as dominant market drivers, fundamentally reshaping the make up of the market and signalling a structural shift in buyer preference and investment strategy.

Overall sales volume eased by 5% YoY, pointing to consolidation after successive years of accelerated activity. Despite the moderation, transaction levels remain healthy in the context of recent growth, suggesting the market is transitioning into a more sustainable phase rather than experiencing contraction.

Table showing change in median price (freehold & Leasehold) 2023 - 2025

Jan/ 23	Feb/ 23	Mar/ 23	Apr/ 23	May /23	Jun/ 23	Jul/ 23	Aug/ 23	Sep/ 23	Oct/ 23	Nov/ 23	Dec/ 23
295 000	304 000	306 000	310 000	308 000	307 000	308 000	307 000	307 000	304 000	304 000	300 000
458 000	481 000	468 000	473 000	471 000	480 000	479 000	481 000	482 000	490 000	490 000	490 000

Jan/ 24	Feb/ 24	Mar/ 24	Apr/ 24	May /24	Jun/ 24	Jul/ 24	Aug/ 24	Sep/ 24	Oct/ 24	Nov/ 24	Dec/ 24
300 000	297 000	295 000	295 000	296 000	290 000	289 000	285 000	286 000	286 000	284 000	284 000
490 000	489 000	489 000	496 000	502 000	506 000	505 000	507 000	502 000	502 000	502 000	503 000

Jan/ 25	Feb/ 25	Mar/ 25	Apr/ 25	May /25	Jun/ 25	Jul/ 25	Aug/ 25	Sep/ 25	Oct/ 25	Nov/ 25	Dec/ 25
283 000	283 000	282 000	281 000	280 000	280 000	280 000	280 000	280 000	280 000	280 000	280 000
502 000	499 000	499 000	499 000	497 000	502 000	502 000	502 000	502 000	506 000	506 000	506 000

- **Median Leasehold property price = $280k; -5% change across 36 months**
- **Median Freehold property price = $505k; +10% change across 36 months**

Leasehold median prices declined -5% over the past three years to $280k. Rather than indicating a value reduction, this steady decline reflects the market's compositional shift. When viewed alongside the rapid increase in compact asset sales, this trend highlights underlying price resilience, as median values adjust to the nature of transacting stock rather than actual depreciation.

Freehold values continued their upward trajectory, rising 10% over the same period. Sustained appreciation underscores the stability and enduring appeal of freehold assets. The divergence in price performance between leasehold and freehold is indicative of the structurally different nature of the two tenure types.

Table Showing category & Regional YoY Price change

	1 BED	2 BED	3 BED	4 BED	5 BED	6 BED	MEDIAN
2024	$160k	$246k	$346k	$506k	$786k	$800k	$285k
2025	$161k	$246k	$347k	$530k	$795k	$800k	$280k
Change	+0.6%	0%	+0.3%	+4.7%	+1.1%	0%	-2.1%
	CENTRAL BADUNG	**DENPASAR**	**GIANYAR**	**MENGWI**	**NORTH BADUNG**	**SOUTH BADUNG**	**TABANAN**
2024	$295k	$328k	$298k	$305k	$297k	$247k	$276k
2025	$289k	$320k	$290k	$295k	$295k	$247k	$259k
Change	-2%	-2.4%	-2.7%	-3.3%	-0.7%	0%	-6.2%

Price movements remained contained, with sub -1% changes across most typologies. The most notable adjustment was in Tabanan (-6.2%), likely driven by a growing concentration of compact, lower value stock in the transaction mix.

This restrained pricing movement, despite the broader market softening, reinforces the markets underlying stability. Leasehold and multi-bedroom segments in particular have held firm, suggesting that price softening is largely compositional rather than systemic. These outcomes align with the preceding sales trends, which show that rising compact asset sales have diluted medians without undermining per category pricing integrity.

3. Built Trends

Table showing average property size by bedroom categories

	1 BED	2 BED	3 BED	4 BED	5 BED	6 BED +	MARKET
AVERAGE	65 sqm	140 sqm	230 sqm	352 sqm	488 sqm	471 sqm	201 sqm

Property trends in 2025 illustrate the markets transition to optimisation led planning. After years of downsizing, average property sizes have stabilised, and increased FSR point to more intensive development practices. While pricing per sqm remains configuration dependent, compact, efficient layouts retain a market premium, confirming their status as the emerging preferred product for both developers and buyers in a consolidating market.

Average property sizes remained stable across configurations in 2025, signalling the end of the downsizing trend that characterised the prior two years. One- and two-bedroom properties remained structurally compact at 65 sqm and 140 sqm respectively, while the average for all properties settled at 201 sqm.

Table showing average Bali property size 2023 - 2025

Jan/23	Feb/23	Mar/23	Apr/23	May/23	Jun/23	Jul/23	Aug/23	Sep/23	Oct/23	Nov/23	Dec/23
255	253	251	248	245	248	248	246	246	244	243	238

Jan/24	Feb/24	Mar/24	Apr/24	May/24	Jun/24	Jul/24	Aug/24	Sep/24	Oct/24	Nov/24	Dec/24
236	228	225	225	225	218	216	213	212	212	210	210

Jan/25	Feb/25	Mar/25	Apr/25	May/25	Jun/25	Jul/25	Aug/25	Sep/25	Oct/25	Nov/25	Dec/25
210	209	208	208	208	207	207	207	207	207	207	207

- **Average Bali property size = 201sqm; -18% 36 month change**
- **Average floor space ratio (FSR) 83%; +3% YoY**

The prevailing trend over the past three years has been a reduction in average property size, primarily driven by market recomposition as compact assets gained share. Over the past 12 months, however, size contraction has stabilised, with the market-wide average now steady at 201 sqm.

Developers appear to have reached a point of equilibrium in balancing usability and profitability, with floor space ratio (FSR) increasing to 83% (+3% YoY). This density driven design approach highlights a continued focus on maximising land efficiency particularly in high demand areas. These trends highlight a shift from extensive land utilisation to vertical and compact development. Developers are increasingly maximising plot yield while maintaining product relevance.

Table showing average property size across bedroom categories and regions

	1 BED	2 BED	3 BED	4 BED	5 BED	6 BED +
CENTRAL BADUNG	57 sqm	155 sqm	251 sqm	350 sqm	496 sqm	470 sqm
DENPASAR	48 sqm	160 sqm	219 sqm	393 sqm	406 sqm	517 sqm
GIANYAR	87 sqm	158 sqm	246 sqm	427 sqm	427 sqm	487 sqm

MENGWI	76 sqm	148 sqm	248 sqm	333 sqm	514 sqm	628 sqm
NORTH BADUNG	65 sqm	145 sqm	229 sqm	348 sqm	481 sqm	575 sqm
SOUTH BADUNG	62 sqm	137 sqm	213 sqm	388 sqm	477 sqm	563 sqm
TABANA	65 sqm	147 sqm	244 sqm	373 sqm	531 sqm	701 sqm

- **Average Bali villa size = 229sqm; -3% YoY**
- **160,000sqm 2025 total new build sqm; - 34% YoY**

Average villa size declined to 229 sqm (-3% YoY), extending a multi-year trend of rationalised footprints. This reduction reflects rising development costs, tighter margins, and evolving user needs favouring streamlined spatial planning.

Total new build area fell by 34% YoY to 160,000 sqm, underscoring the combination of contraction in gross output and the rise of compact assets. This decline reinforces that volume is being sacrificed for profitability and precision led delivery, rather than scale for its own sake.

Chart showing average sqm price by bedroom categories

TYPE	1 BED	2 BED	3 BED	4 BED	5 BED	6 BED +
VILLA	$2,530	$1,940	$1,770	$1,875	$2,090	$2,005
APARTMENT	$3,505	$2,580				
TOTAL	$3,077	$1,972	$1,742	$1,839	$1,990	$1,976

- **$2,210 market average sqm price; +2% YoY**
- **$3,400 apartment average sqm price; -1% YoY**

The average price per square metre increased marginally to $2,210 (+2% YoY), indicating stable value retention despite wider softening in market conditions. This outcome reflects sustained demand for efficiently configured, high yield assets.

Average apartment pricing per sqm fell by 1% to $3,400, suggesting emerging pressure in vertical formats. This compression reflects both increased supply side competition and the formative stage of the apartment sector, where pricing benchmarks, delivery consistency, and buyer expectations are still evolving as the segment matures.

Table showing average price per sqm across bedroom categories and regions

	1 BED	2 BED	3 BED	4 BED	5 BED	6 BED +
CENTRAL BADUNG	$3,950	$1,990	$1,565	$1,605	$1,745	$1,695

DENPASAR	$3,180	$1,770	$2,160	$1,615	$1,995	$1,250
GIANYAR	$2,290	$1,910	$1,685	$1,915	$2,400	$1,940
MENGWI	$2,535	$1,905	$1,740	$1,855	$2,080	$2,010
NORTH BADUNG	$3,130	$1,955	$1,740	$1,855	$2,080	$2,010
SOUTH BADUNG	$3,170	$2,090	$2,050	$1,985	$2,045	$2,155
TABANA	$2,745	$1,785	$1,520	$1,640	$1,800	$1,980

Regional price data reveal the highest values in North and Central Badung, with average rates surpassing $3,000 per sqm across several bedroom types. This underscores the premium attached to centrality and brand led delivery in established markets.

Lower sqm rates in peripheral regions, particularly Tabanan and Gianyar, reinforce the bifurcation of Bali's development landscape. These locations offer affordability led appeal, but remain secondary in investor focus due to infrastructure lag and absorption risk.

4. Rental Trends

Table showing rental supply by region

	CENTRAL BADUNG	DENPASAR	GIANYAR	MENGWI	NORTH BADUNG	SOUTH BADUNG	TABANAN
MARKET SHARE	10.8%	6.2%	12.2%	4.1%	46.9%	17%	2.7%

Rental markets in 2025 exhibited operational resilience under pressure. Expanding supply, particularly in compact segments, placed downward pressure on daily rates and total revenue. However, occupancy levels improved year-on-year, underscoring sustained traveller demand. The rental sector is increasingly bifurcated, high performing submarkets are adapting through rate recalibration and lean operations, while lower-performing assets face absorption and revenue challenges. This divergence is shaping a more competitive, performance driven landscape.

Rental supply held firm in North Badung, capturing 46.9% of listings. South Badung followed with 17%, while Gianyar and Central Badung made up 12.2% and 10.8% respectively. This mirrors development corridors and short stay infrastructure clustering.

- **53% Bali Market average occupancy; +2%**
- **44,490 total rental properties; +107% 36 month change**

Despite a 107% increase in rental supply over the past three years, market occupancy improved modestly to 53% (+2% YoY). This reflects robust rental demand, particularly in core regions, and the success of operators in recalibrating rates to drive consistent booking volumes.

The sustained occupancy performance amidst a significant inventory increase highlights the market's underlying strength and adaptability. These occupancy outcomes also suggest that the market is absorbing new supply at a reasonable pace, even as total revenue and ADRs come under pressure.

Table of average occupancy across bedroom categories and regions

	1 BED	2 BED	3 BED	4 BED	5 BED	6 BED +
CENTRAL BADUNG	50%	51%	56%	55%	56%	57%
DENPASAR	61%	64%	61%	60%	65%	60%
GIANYAR	59%	61%	59%	59%	60%	60%
MENGWI	61%	62%	58%	55%	45%	45%
NORTH BADUNG	61%	59%	59%	56%	52%	59%
SOUTH BADUNG	57%	62%	54%	51%	51%	50%

TABANA	41%	52%	45%	43%	46%	34%

- **57% 1 bedroom occupancy South Badung; +7% points YoY**
- **55% average 3 bedroom occupancy; -8% points YoY**

One-bedroom units in South Badung recorded a 57% average occupancy rate in 2025, marking a 7% YoY increase. This rise is indicative of strong short stay demand, particularly in well positioned compact assets.

In contrast, three-bedroom properties experienced an 8% YoY decline in occupancy to 55%, suggesting growing competition and a possible reduction in demand in mid-sized rental stock. These trends reinforce the appeal of smaller assets in high absorption locations.

Chart showing average occupancy by asset size YoY

	1 - 3 Bedrooms	4 - 6 Bedrooms
2024	50%	50%
2025	63%	37%

- **$1.21B 2025 total rental revenue; -15% YoY**
- **South Badung share of total revenue 18%; +17% YoY**

Total rental revenue declined 15% YoY to $1.21B, driven by a combination of declining daily rates and a shifting composition toward compact assets. Despite stronger occupancy, revenue outcomes were impacted by rate compression across most categories.

South Badung's rental performance stood out, increasing its total revenue share by 17% YoY to reach 18%. This growth reflects strong booking performance and strategic rate management across its increasingly dense rental landscape. The data also highlights a broader consolidation around existing core markets which continue to absorb the bulk of rental activity. This centralisation suggests that while the broader market is softening, there remains opportunity for strategic growth within stabilised corridors and select emerging zones.

Table of average daily rate across bedroom categories and regions

	1 BED	2 BED	3 BED	4 BED	5 BED	6 BED +
CENTRAL BADUNG	$70	$106	$173	$273	$369	$596
DENPASAR	$63	$118	$208	$352	$503	$563
GIANYAR	$64	$106	$201	$291	$382	$514
MENGWI	$78	$105	$169	$285	$655	$944
NORTH BADUNG	$87	$117	$195	$329	$485	$752

SOUTH BADUNG	$103	$154	$254	$411	$619	$779
TABANA	$74	$129	$186	$292	$569	$938

- **$178 2025 market average daily rate; -14% YoY**
- **$226 2025 market professionally managed property average daily rate; -26% YoY**

The market wide average daily rate (ADR) fell 14% YoY to $178, reflecting competitive pressure and recalibrated pricing across both premium and compact segments. Professionally managed properties experienced a steeper decline, with ADRs down 26% YoY to $226.

Despite the broad reduction, premium configurations particularly in North and Central Badung retained pricing power. However, operators are increasingly focusing on volume stability rather than price expansion, with ADR trends highlighting the tactical balance between occupancy and revenue.

Bali Regulatory Landscape

Overview

Property acquisition and development in Bali remains viable for foreign investors, but it is no longer a lightly regulated environment. Over the past two years, both the Provincial Government of Bali and central authorities have materially increased enforcement around zoning compliance, building approvals, and tourism licensing. The focus has shifted from structural permissibility to operational compliance.

At a structural level, foreign participation must sit within Indonesia's recognised land rights framework. Direct individual freehold ownership is not available to foreign individuals. Investment therefore requires a properly structured approach, whether through an individual right of use for residential occupation, a foreign investment company for commercial development, or a private lease arrangement supported by robust documentation. The legality of the structure is only the starting point.

The more significant compliance risk today sits in land use alignment and licensing. Authorities are actively reviewing villas and small-scale hospitality assets operating without correct zoning, building approvals, or tourism licences. Properties constructed without the appropriate building approval or lacking a certificate confirming lawful function may face restrictions on use. Likewise, short-term rental operations without a valid business identification number and sector licence are increasingly exposed to administrative sanctions.

For developers, this means feasibility must now incorporate spatial planning (RDTR) verification at the outset. Green zone and protected areas are under heightened scrutiny, and infrastructure capacity is increasingly part of local policy discussion. For investors purchasing existing assets, due diligence must extend beyond title validity to include zoning designation, construction approvals, operational permits, and corporate compliance where applicable.

In practical terms, Bali has moved from a relationship-based, documentation-light market to one that demands formal registration, licensing alignment, and transparent business structuring.
Well-structured projects with correct approvals continue to operate without issue. Informal or partially compliant arrangements carry growing risk.

The key distinction in the current climate is not whether foreign ownership is possible, but whether the intended use of the asset is fully aligned with land classification, building approvals, and business licensing. Investors who approach Bali with a fully integrated legal, planning, and operational strategy remain well positioned. Those who treat compliance as secondary face increasing exposure.

Ownership structures

1. Right of Use (Hak Pakai)

Hak Pakai is the primary title available to foreign individuals holding a valid Indonesian residence permit, such as a KITAS or KITAP. It grants a state-recognised, time-bound right to use and occupy residential property. Hak Pakai may be issued over state land or structured over land held under Hak Milik or Hak Guna Bangunan, subject to registration and regulatory compliance. It does not provide full ownership but offers a legally recognised tenure that may be extended under prevailing regulations.

2. Right to Build (Hak Guna Bangunan / HGB) via PT PMA

Hak Guna Bangunan (HGB) allows the holder to construct and commercially utilise buildings on land not held under freehold. Foreign individuals cannot hold HGB directly and must establish a PT PMA to acquire it. HGB is typically granted for 30 years and may be extended in stages up to approximately 80 years, subject to regulation. Through a PT PMA, investors may develop and operate villas, hospitality assets, and other income-generating property.

3. Leasehold

Leasehold is a private contractual arrangement between landowner and tenant. It is not a state-recognised land title under Indonesian agrarian law. The lease is granted for a fixed term agreed between the parties and may be extended subject to contract terms. Ownership of the land remains with the landowner at all times. Because protections depend on contract structure rather than statutory land rights, risk and enforceability are determined by due diligence and documentation.

Required documents before buying

Regulatory oversight in Bali has intensified, particularly in relation to zoning compliance, building permits, and business licensing. Thorough due diligence is therefore essential.

1. Land Certificate - Hak Pakai or Hak Guna Bangunan (HGB)

For property acquired under Hak Pakai (individual foreign ownership structure) or HGB via a PT PMA, the land certificate must clearly reflect the correct title and be formally registered with the Badan Pertanahan Nasional (BPN). This certificate is the primary proof of legal tenure and confirms the validity, duration, and classification of the land right.

2. PBG and SLF - Building Approval and Certificate of Proper Function

The PBG (Persetujuan Bangunan Gedung) confirms that the building has received formal construction approval under current regulations, replacing the former IMB system. The SLF (Sertifikat Laik Fungsi) certifies that the completed building is fit for use and compliant with safety and zoning requirements. Together, these documents confirm both legal construction and lawful occupancy.

3. Lease Agreement (Leasehold)

For long-term leasehold acquisitions, a formal Lease Agreement must be executed, typically before a Notary or Land Deed Official (PPAT). The agreement should clearly define:

- Lease duration
- Extension rights
- Transfer provisions
- Renovation and structural permissions

Because leasehold is contractual rather than a registered land title, legal certainty depends heavily on the strength and clarity of this document.

4. NIB and Tourism Business License

If the villa is to be operated as short-term or long-term rental accommodation, a Business Identification Number (Nomor Induk Berusaha / NIB) and the relevant tourism operational licence are required. Without these approvals, the rental activity may be classified as non-compliant under Indonesian business regulations.

5. OSS Registration - Online Single Submission

All business licensing, including NIB issuance and sector approvals, is processed through Indonesia's Online Single Submission (OSS) system. OSS registration forms the legal foundation for operating accommodation businesses and applies to both individuals and PT PMA entities engaging in rental activity.